HFC
Dreams Made Possible

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November 29, 2018

Chief Executive Officer

Nairobi Securities Exchange Ltd

55 Westlands Road

P.O Box 43633 - 00100

NAIROBI

Dear Sir,

RE: HFC UN-AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

AS AT 30 SEPTEMBER 2018

Please find enclosed a copy of the bank and Group un audited financial statements and other disclosures for the period ended 30 September 2018 for your information and retention.

Please acknowledge receipt on the attached copy of this letter.

Yours faithfully,

Constantine Barasa

GROUP FINANCE DIRECTOR

HFC Limited is regulated by the Central Bank of Kenya.

HFC Limited is a wholly owned subsidiary of HF Group.

Directors: Steve Mainda (Chairman), Sam Waweru (Managing), Frank Ireri, Benson Wairegi, Gladys Ogallo, John Nicholas Ashford-Hodges*, Shilpa Haria
(*British)

HFC LTD

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

		Bank					Group Consolidated		
I	**STATEMENT OF FINANCIAL POSITION**	30.09.2017	31.12.2017	31.03.2018	30.06.2018	30.09.2018	30.09.2017	31.12.2017	30.09.2018
	AS AT 30 SEPTEMBER 2018	UnAudited	Audited	UnAudited	UnAudited	UnAudited	UnAudited	Audited	UnAudited
A.	**ASSETS**	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)
1	Cash balances (both local and foreign)	458,732	447,263	355,021	400,525	365,546	458,842	447,263	365,546
2	Balances due from Central Bank of Kenya	5,370,376	2,823,459	2,120,639	2,239,721	1,974,865	5,370,376	2,823,459	1,974,865
3	Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-	-
4	Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-	-
5	Investment Securities:	-	-	-	-	-	-	-	-
	a) Held to Maturity:	**110,395**	**746,179**	**1,316,673**	**1,417,444**	**1,291,647**	**110,395**	**746,179**	**1,291,647**
	a. Kenya Government securities	110,395	746,179	1,316,673	1,417,444	1,291,647	110,395	746,179	1,291,647
	b. Other securities	-	-	-	-	-	-	-	-
	b) Available for sale:	**620,213**	**1,541,117**	**1,174,427**	**2,611,805**	**2,576,822**	**620,213**	**1,541,117**	**2,576,822**
	a. Kenya Government securities	620,213	1,541,117	1,174,427	2,611,805	2,576,822	620,213	1,541,117	2,576,822
	b. Other securities	-	-	-	-	-	-	-	-
6	Deposits and balances due from local banking institutions	2,854,345	1,530,873	2,767,912	1,227,847	1,697,577	2,854,345	1,530,873	1,697,577
7	Deposits and balances due from banking institutions abroad	1,684,686	770,389	227,934	193,489	387,427	1,684,686	770,389	387,427
8	Tax recoverable	201,418	195,394	173,465	147,691	197,520	272,857	204,012	267,564
9	Loans and advances to customers (net)	51,194,205	49,639,639	48,782,852	47,593,741	45,431,268	51,194,205	49,639,639	45,431,268
10	Balances due from banking institutions in the group	-	-	-	-	-	-	-	-
11	Investments in associates	-	-	-	-	-	-	-	-
12	Investments in subsidiary companies	-	-	-	-	-	-	-	-
13	Investment in Joint ventures	274,498	254,580	254,580	254,580	254,580	1,280,110	1,713,985	1,709,519
14	Investment properties	-	-	-	-	-	1,737,996	748,549	-
15	Property and equipment	1,357,080	1,513,899	1,471,779	1,436,261	1,376,609	1,360,600	1,517,380	2,123,163
16	Prepaid operating lease rentals	38,590	38,475	38,359	38,244	38,129	44,088	44,108	43,445
17	Intangible assets	1,130,095	1,071,997	1,045,985	1,006,132	988,665	1,130,409	1,072,387	989,708
18	Deferred tax asset	750,593	816,436	813,625	802,600	798,140	742,974	839,499	821,202
19	Retirement benefit asset	-	-	-	-	-	-	-	-
20	Other assets	762,452	736,856	868,248	892,832	970,935	1,925,667	3,902,277	3,693,200
21	**TOTAL ASSETS**	**66,807,678**	**62,126,556**	**61,411,498**	**60,262,912**	**58,349,730**	**70,787,763**	**67,541,116**	**63,372,953**
B.	**LIABILITIES**								
22	Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-
23	Customer deposits	33,755,812	36,897,543	36,072,048	36,386,264	34,845,603	33,619,068	36,660,591	34,659,633
24	Deposits and balances due to local banking institutions	302,248	83,682	85,164	379,656	78,744	302,248	83,682	78,744
25	Deposits and balances due to foreign banking institutions	-	-	-	-	-	-	-	-
26	Other money market deposits	-	-	-	-	-	-	-	-
27	Borrowed funds	21,914,758	14,589,012	14,396,442	13,190,194	13,288,035	23,735,256	16,038,675	15,347,682
28	Balances due to banking institutions in the group	-	-	-	-	-	-	-	-
29	Tax payable	-	-	-	-	-	4	3	3
30	Dividends payable	-	-	-	-	-	61,782	49,058	43,120
31	Deferred tax liability	-	-	-	-	-	-	-	-
32	Retirement benefit liability	-	-	-	-	-	-	-	-
33	Other liabilities	1,054,101	592,858	1,064,529	608,779	577,533	1,768,520	3,259,572	2,431,967
34	**TOTAL LIABILITIES**	**57,026,919**	**52,163,095**	**51,618,183**	**50,564,893**	**48,789,915**	**59,486,878**	**56,091,581**	**52,561,149**
C.	**SHAREHOLDERS' FUNDS**								
35	Paid up /Assigned capital	5,000,000	5,000,000	5,000,000	5,000,000	5,000,000	1,747,333	1,747,683	1,923,071
36	Share premium/(discount)	3,513,662	3,513,662	3,513,662	3,513,662	3,513,662	4,342,562	4,342,912	4,342,562
37	Revaluation reserves	-	179,580	179,580	179,580	180,440	701,463	881,044	881,904
38	Retained earnings/Accumulated losses	596,760	600,656	386,004	253,516	(215,927)	3,839,190	3,712,213	2,590,444
39	Statutory loan loss reserves	637,307	640,800	678,747	690,214	1,010,186	637,307	640,800	1,002,370
40	Other Reserves	(17,720)	(21,987)	(15,428)	10,297	20,704	(17,720)	(48,226)	20,704
41	Proposed dividends	-	-	-	-	-	-	122,359	-
42	Capital grants	50,750	50,750	50,750	50,750	50,750	50,750	50,750	50,750
43	**TOTAL SHAREHOLDERS' FUNDS**	**9,780,759**	**9,963,461**	**9,793,315**	**9,698,019**	**9,559,815**	**11,300,885**	**11,449,535**	**10,811,804**
44	**TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS**	**66,807,678**	**62,126,556**	**61,411,498**	**60,262,912**	**58,349,730**	**70,787,763**	**67,541,116**	**63,372,953**

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HFC LTD

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

		Bank					Group Consolidated		
		30.09.2017	31.12.2017	31.03.2018	30.06.2018	30.09.2018	30.09.2017	31.12.2017	30.09.2018
II	STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 30 SEPTEMBER 2018	UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)
1	**INTEREST INCOME**								
1.1	Loans and advances	5,100,896	6,713,482	1,548,774	3,023,058	4,407,694	5,100,896	6,713,482	4,407,694
1.2	Government securities	271,987	314,112	50,218	145,674	237,882	271,987	314,112	237,882
1.3	Deposits and placements with banking institutions	80,329	105,032	13,760	25,414	36,243	80,329	105,032	36,243
1.4	Other Interest Income	-	-	-	-	-	-	-	-
1.5	**Total interest income**	**5,453,212**	**7,132,626**	**1,612,752**	**3,194,146**	**4,681,819**	**5,453,212**	**7,132,626**	**4,681,819**
2	**INTEREST EXPENSES**								
2.1	Customer deposits	1,779,285	2,323,445	542,329	1,109,786	1,658,506	1,779,285	2,323,445	1,658,506
2.2	Deposits and placement from banking institutions	49,150	110,940	31,029	63,784	94,903	49,150	110,940	94,903
2.3	Other interest expenses	1,379,548	1,639,967	342,498	678,035	1,006,546	1,441,391	1,721,873	1,133,396
2.4	**Total interest expenses**	**3,207,982**	**4,074,352**	**915,856**	**1,851,605**	**2,759,954**	**3,269,826**	**4,156,258**	**2,886,805**
3	**NET INTEREST INCOME/(LOSS)**	**2,245,230**	**3,058,274**	**696,896**	**1,342,541**	**1,921,865**	**2,183,386**	**2,976,368**	**1,795,014**
4	**OTHER OPERATING INCOME**								
4.1	Fees and commissions on loans and advances	43,204	51,039	6,843	18,008	27,667	43,204	51,039	27,667
4.2	Other fees and commissions	72,116	94,503	48,854	47,627	69,496	159,756	149,441	112,564
4.3	Foreign exchange trading income/(Loss)	43,614	50,221	17,570	24,418	30,947	43,614	50,221	30,947
4.4	Dividend Income	-	-	-	-	-	-	-	-
4.5	Other income	68,960	88,094	12,115	53,688	71,423	397,992	1,095,725	426,834
4.6	**Total Non-interest income**	**227,894**	**283,857**	**85,382**	**143,741**	**199,533**	**644,567**	**1,346,426**	**598,012**
5	**TOTAL OPERATING INCOME**	**2,473,124**	**3,342,131**	**782,278**	**1,486,282**	**2,121,398**	**2,827,953**	**4,322,794**	**2,393,026**
6	**OPERATING EXPENSES**								
6.1	Loan loss provision	478,878	576,203	112,649	228,135	357,150	478,878	576,203	357,150
6.2	Staff costs	635,444	853,599	200,560	395,700	608,508	806,274	1,088,000	932,456
6.3	Directors' emoluments	5,176	7,309	2,696	4,142	7,228	6,319	8,772	8,344
6.4	Rental charges	83,464	110,466	28,466	57,698	86,577	83,464	110,466	86,577
6.5	Depreciation charge on property and equipment	123,263	167,589	42,658	85,485	126,486	123,651	168,435	126,748
6.6	Amortisation charges	130,396	182,362	46,406	93,565	145,150	130,439	182,398	145,194
6.7	Other operating expenses	767,569	1,051,638	271,965	514,531	881,922	967,062	1,854,125	1,059,189
6.8	**Total Other Operating Expenses**	**2,224,189**	**2,949,166**	**705,400**	**1,379,256**	**2,213,021**	**2,596,087**	**3,988,399**	**2,715,658**
7	**Profit/(loss) before tax and exceptional items**	**248,936**	**392,965**	**76,879**	**107,026**	**(91,623)**	**231,867**	**334,395**	**(322,632)**
8	Exceptional items	-	(19,918)	-	-	-	-	(22,771)	(3,013)
9	**Profit/(loss) after exceptional items**	**248,936**	**373,047**	**76,879**	**107,026**	**(91,623)**	**231,867**	**311,624**	**(325,645)**
10	Current tax	(74,681)	(278,174)	(23,063)	(49,232)	-	(72,139)	(296,840)	(6,372)
11	Deferred tax	-	86,376	-	-	-	-	111,432	-
12	**Profit/(loss) after tax and exceptional items**	**174,255**	**181,249**	**53,816**	**57,794**	**(91,623)**	**159,728**	**126,216**	**(332,017)**
13	**Other Comprehensive Income**								
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-	-
13.2	Fair value changes in available for sale financial assets	31,928	39,520	9,371	46,121	60,987	31,928	39,520	60,987
13.3	Revaluation surplus on Property,plant and equipment	-	189,032	-	-	-	-	189,032	-
13.4	Share of other comprehensive income of associates	-	-	-	-	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	(9,578)	(21,308)	(2,811)	(13,836)	(18,296)	(9,578)	(21,308)	(18,296)
14	**Other Comprehensive Income for the year net of tax**	22,349	207,244	6,560	32,284	42,691	22,349	207,244	42,691
15	**Total comprehensive income for the year**	196,604	388,493	60,376	90,078	(48,932)	182,078	333,460	(289,326)
	Earnings per share	**46.47**	**36.25**	**43.05**	**23.12**	**(24.43)**	**0.81**	**0.36**	**(1.15)**
	Dividend per share	**40.00**	**40.00**	**-**	**25.00**	**25.00**	**-**	**0.35**	**-**

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HFC LTD

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

		Bank					Group Consolidated		
		30.09.2017	31.12.2017	31.03.2018	30.06.2018	30.09.2018	30.09.2017	31.12.2017	30.09.2018
	DISCLOSURES	UnAudited	Audited	UnAudited	UnAudited	UnAudited	UnAudited	Audited	UnAudited
III	AS AT 30 SEPTEMBER 2018	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)
1	**Non-Performing Loans and Advances**								
	a) Gross non-performing loans and advances	**8,104,752**	**8,212,167**	**8,479,657**	**8,863,539**	**8,946,494**	**8,104,752**	**8,212,167**	**8,946,494**
	b) Less: Interest in Suspense	**1,413,209**	**1,261,043**	**1,385,613**	**1,496,388**	**1,514,185**	**1,413,209**	**1,261,043**	**1,514,185**
	c) Total non-Performing loans and advances (a-b)	**6,691,543**	**6,951,124**	**7,094,044**	**7,367,152**	**7,432,309**	**6,691,543**	**6,951,124**	**7,432,309**
	d) Less: Loan loss provisions	1,571,083	1,729,104	1,937,592	1,959,174	2,280,915	1,571,083	1,729,104	2,280,915
	e) Net non-performing loans and advances(c-d)	**5,120,460**	**5,222,020**	**5,156,452**	**5,407,977**	**5,151,393**	**5,120,460**	**5,222,020**	**5,151,393**
	f) Discounted value of securities	5,120,460	5,222,020	5,156,452	5,407,977	5,151,393	5,120,460	5,222,020	5,151,393
	g) Net Exposure(e-f)	-	-	-	-	-	-	-	-
2	**Insider loans and advances**								
	a) Directors, shareholders and associates	526,925	507,608	476,357	464,484	426,287	526,925	507,608	426,287
	b) Employees	1,051,362	1,019,530	964,007	909,115	883,942	1,051,362	1,019,530	883,942
	c) Total insider Loans and Advances	**1,578,287**	**1,527,138**	**1,440,364**	**1,373,599**	**1,310,229**	**1,578,287**	**1,527,138**	**1,310,229**
3	**Off-Balance Sheet items**								
	a) Letters of credit, guarantees and acceptances	533,373	280,252	160,881	158,821	208,493	533,373	280,252	208,493
	b) Forwards, swaps and options	1,896,701	1,445,300	1,649,300	1,918,070	1,715,000	1,896,701	1,445,300	1,715,000
	c) Other contingent liabilities	-	-	-	-	-	-	-	-
	c) Total contingent liabilities	**2,430,074**	**1,725,552**	**1,810,181**	**2,076,891**	**1,923,493**	**2,430,074**	**1,725,552**	**1,923,493**
4	**Capital Strength**								
	a) Core capital	8,272,702	8,297,882	8,043,706	7,945,979	7,520,299	9,168,391	8,963,309	7,441,779
	b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
	c) Excess/Deficiency	7,272,702	7,297,882	7,043,706	6,945,979	6,520,299	8,168,391	7,963,309	6,441,779
	d) Supplementary capital	817,767	811,402	798,949	757,469	712,075	817,855	811,402	712,117
	e) Total capital (a+d)	9,090,469	9,109,284	8,842,655	8,703,447	8,232,374	9,986,246	9,774,711	8,153,896
	f) Total risk weighted assets	55,143,370	53,575,584	52,217,439	50,932,537	49,167,068	59,129,480	56,912,342	52,735,321
	g) Core capital /Total deposit liabilities	24.29%	22.44%	22.25%	21.61%	21.53%	27.03%	24.39%	21.42%
	h) Minimum Statutory Ratio	8.00%	8.00%	8.00%	8.00%	8.00%	8.00%	8.00%	8.00%
	i) Excess/Deficiency	16.29%	14.44%	14.25%	13.61%	13.53%	19.03%	16.39%	13.42%
	j) Core capital /Total risk weighted assets	15.00%	15.49%	15.40%	15.60%	15.30%	15.51%	15.75%	14.11%
	k) Minimum Statutory Ratio	10.50%	10.50%	10.50%	10.50%	10.50%	10.50%	10.50%	10.50%
	l) Excess/Deficiency (j-k)	4.50%	4.99%	4.90%	5.10%	4.80%	5.01%	5.25%	3.61%
	m) Total capital /Total risk weighted assets	16.49%	17.00%	16.93%	17.09%	16.74%	16.89%	17.18%	15.46%
	n) Minimum Statutory Ratio	14.50%	14.50%	14.50%	14.50%	14.50%	14.50%	14.50%	14.50%
	o) Excess/Deficiency (m-n)	1.99%	2.50%	2.43%	2.59%	2.24%	2.39%	2.68%	0.96%
	p) Adjusted Core Capital/Total Deposit Liabilities*			22.25%	22.80%	22.77%			22.42%
	q) Adjusted Core Capital/Total Risk Weighted Assets*			15.40%	16.50%	16.17%			14.85%
	r) Adjusted Total Capital/Total Risk Weighted Assets*			16.93%	18.00%	17.62%			16.20%
5	**Liquidity**								
	a) Liquidity Ratio	26.03%	20.70%	21.40%	20.88%	22.89%	26.03%	20.70%	22.89%
	b) Minimum Statutory Ratio	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%
	c) Excess(Deficiency) (a-b)	6.03%	0.70%	1.40%	0.88%	2.89%	6.03%	0.70%	2.89%

*Notes

The adjusted Capital Ratios includes the expected credit loss provisions added back to Capital in line with CBK Guidance Note issued in April 2018 on implementation of IFRS 9.

These financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.hfgroup.co.ke

They may also be accessed at the institutions head office located at Rehani House, Kenyatta Avenue/Koinange Street, Nairobi

Sam Waweru
Ag Group Managing Director

Steve Mainda
Group Chairman